

- **Mortgage payment** (including principal, interest, taxes, and insurance)
 - **Cost of utilities**
 - **Vacancy allowance** (10 percent of gross rents)
 - **Maintenance and CapEx** (estimated at 1 percent of the property's value, divided by 12 for monthly cost)
 - **Property management** (10 percent of gross rents)
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Cash flow

Makes sense, right? Income minus expenses equals money left over. Where does that money go? Oh, right, it's yours to keep.

Now, let's try assigning some real monthly numbers. Let's say you own a \$250,000 house that has a mortgage payment of \$1,200 per month. You do some research and find that similar homes nearby rent for about \$1,800 per month, and your tenants will pay all their utilities (which is slightly unrealistic, but better for the sake of simplicity). Your maintenance cost calculates to about \$208, but you round it up a little since your property is older.

Bringing them all together, the numbers look like this:

\$1,800 gross rental income

Tenants pay all utilities (including water, trash removal, etc.)

- **\$1,200 mortgage payment**
 - **\$180 vacancy allowance**
 - **\$180 property management allowance**
 - **\$240 maintenance/CapEx allowance**
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\$0 cash flow

You might be asking, "Wait, what happened to my money?" That's a reasonable reaction to a big fat zero. In our opinion, a break-even cash flow is the absolute floor that you should look for when buying a home. Anything less than that, and keeping the property after moving out is a